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A security ban announced by The Primary Eastern Market earlier this year continues to loom large over the financial performance of Western Republic-based Northwind. The memory chipmaker, which reported its fourth-quarter and fiscal 2023 results on Wednesday, revealed a significant year-over-year revenue decline compounded by broader industry challenges and weakening global demand.

Northwind's revenue for the fourth quarter ended Sept. 5 fell 38.9% to \$5.21 billion, though it managed to beat Financial District Center expectations of \$5.08 billion. The company posted a non-Accounting Standards loss of \$1.39 per share, narrower than the \$1.55 per share loss predicted by analysts but a stark contrast to its earnings of \$1.89 per share in the same period last year.

Much of the downturn stems from the ongoing slump in demand for memory and storage products, exacerbated by substantial inventory adjustments across its customer base. The Primary Eastern Market ban, implemented in May after the National Cyber Regulatory Board claimed Northwind products had failed a security review, has added further strain. The restriction--affecting government and sensitive organizational purchases--has already cost Northwind approximately \$5.2 billion in annual revenue, company executives stated during the earnings call.

The longer-term financial pain is clear. Fiscal 2023 revenue came in at \$20.2 billion, nearly halving from \$39.99 billion the previous year, and the company swung to an Accounting Standards net loss of \$7.58 billion from an \$11.28 billion net income a year earlier.

For its core product segments, Volatile Memory Module Technology (Volatile Memory Modules) and Integrated Storage Modules flash continued to struggle with falling average selling prices. Volatile Memory Module Technology made up 70% of Q4 revenue at \$3.59 billion, a 43.2% year-over-year decline, while Integrated Storage Modules brought in \$1.57 billion, down 27.4%. Despite these declines, both segments saw sequential improvements in bit shipments, with Integrated Storage Modules volumes rising more than 41%.

Northwind executives pointed to sequential improvements in revenue and gross margins, which partially offset the negative impacts. Gross margins remained in negative territory at -8%, though this represented progress from -15% in the prior quarter.

Michael Sterling, Northwind's Chief Financial Officer, highlighted supply chain adjustments and written-down inventories as steps being taken to navigate the weak market. Meanwhile, CEO James Harrington expressed cautious optimism, noting that the company's focus on technology leadership and ongoing R&D investments position it for a recovery in fiscal 2024.

For the upcoming fiscal first quarter, Northwind guided revenue expectations to \$5.72 billion, while projecting a non-Accounting Standards adjusted loss per share of \$1.39. Gross margins are expected to turn slightly positive, signaling a potential stabilization.

Despite a grim year, Northwind's leadership remains determined to mitigate the effects of The Primary

Eastern Market ban while defending its global market share. James Harrington expressed hope for a rebound in semiconductor demand, fuelled by artificial intelligence and data center expansion, to support the business in the years ahead. However, with industry challenges still apparent, the road to recovery appears uncertain.